POLICIES AND PROGRAMMES ON RICE CULTIVATION IN SRI LANKA

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1. Major Current Agriculture Sector Policies

The National Agriculture Policy of Sri Lanka 2021 (MOA&PI, 2024)[1] focuses on crop production and productivity improvement, true self-sufficiency in basic food needs (food independence), planned resource use, market competitiveness, climate resilience, minimizing all risks and uncertainties, and mainstreaming gender and youth in agriculture.

The Policy vision is for "A sustainable food security to achieve national prosperity, which can be achieved by "Creating a socially-acceptable and sustainable food system in Sri Lanka through a globally competitive agricultural production, processing and marketing mechanism."

The Policy goals expected by 2030 include:

i. Double the resource-productivity (compared to 2020 estimates) by adhering to sustainable agriculture practices;

ii. Double the economic profitability of farmers/agri-producers (compared to estimates of 2020);

iii. Increase the contribution of the Agri-Food System to 1/3rd of the National Economy;

iv. Increase the adoption technology developed locally along the agri-food value chain, by a minimum of 50% from that of 2020;

v. Supply safe and quality food in compliance with food control regulations of the country;

vi. Establish a government-regulated food control system supporting certification, standardization, and other logistics;

vii. Establish farmer/agri-producer groups with Agri-entrepreneurship capacity, coupled with efficient market systems;

viii. Establish a constituted role and mandatory participation of farmers/agri-producers in the process of decision-making in the development of agri-food systems;

ix. Agri-food system in Sri Lanka is free from impacts of climatic and other disasters; and

x. A system of transparent, accountable, responsible and participatory governance is established for decision-making in agri-food systems.

1.1. Thematic Areas in the Policy Document

Following 10 thematic areas under which 15 policy statements have been identified in this policy document.

1. Crop Production & Productivity

i. Improve production and productivity of food and feed crops through a well-organized agricultural production system while harnessing the agro-ecological potential and strengthening the food system

[1] https://www.agrimin.gov.lk/web/images/20.10.2022-1/Final%20English%20Document%2007.02.2022%20pdf.pdf

2. Input Management

ii. Strengthen delivery and management operations of physical inputs for their judicious use

iii. Improve productivity and sustainability of arable lands through optimum use of inputs and far-sighted management while safeguarding farming community and the environment

iv. Enhance rational use of irrigation water through participatory management

3. Advanced Technologies

v. Encourage development and adoption of appropriate innovations and technologies during pre- and post-harvest management for sustainable agricultural production

4. Food Safety & Quality Management

vi. Improve access to safe and high-quality food and feed satisfying the national and international standards to safeguard human and animal health

5. Eco-friendly Operations

vii. Support sustainability in agriculture development through conservation and utilization of natural resources while safeguarding ecosystem services

6. Agri-Entrepreneurship and Markets

viii. Foster strategic collaboration among the value chain actors, especially focusing on value added products, targeting domestic and international markets

ix. Streamline and explore the domestic and international market systems with appropriate logistic services in compliance with national and international standards

7. Producer Empowerment

x. Strengthen partnerships and mentorship programmes for farming and to rural community in acquiring agricultural expertise and make appropriate decisions

xi. Empower youth and women in agriculture with support for mechanization, access to modern technologies, and productivity-based incentive systems

8. Climate resilience & other risk management

xii. Promote adaptation and mitigation measures to increase climate-resilience of the agriculture systems

xiii. Strengthen food systems by connecting urban and rural communities to tackle climate shocks and other disasters

9. Knowledge Management and Agricultural Extension

xiv. Constitute a centrally-controlled information development and dissemination system to manage research, development and extension systems, and recruitment related to the agriculture sector

10. **Governance and Operations Management**

    xv. Strengthen institutional coordination mechanism for project implementation, monitoring and evaluation at the national and local government levels with wider stakeholder participation

1.2. Agriculture and Food Security in the National Budget 2025 (Section No. 13)[2]

The Government policy on agriculture sector aims at increasing its productivity, competitiveness and resilience. The fertilizer subsidy for paddy farmers will be continued, for which the Government has already allocated Rs. 35,000 million for 2025. The development of quality seeds, cascade management, efficient use of water in agriculture has been identified as priority areas and are expected to be supported by the budgetary allocation.

Maintaining a Healthy buffer Stock of rice - A sufficient buffer stock starting from this *maha* 2024/25 is proposed to be maintained as a resilience measure to bridge the demand and supply gap of rice in the market.

Information System - The agriculture sector lacks a sound data and information system for timely decision making. Therefore, action will be taken to establish a sound data and information system covering the entire value chain from the point of production up to the point of consumption under the ongoing ADB funded "Food Security Livelihood Emergency Assistance Project" and will be expanded with the funds coming from the new WB Project (Integrated Urban Development and Climate Resilience Project).

Production Increase of OFCs: The production of OFCs will be increased through an accelerated programme over the medium term 2025-2027.

2. Sri Lanka E-Agriculture Strategy and Similar Policies

The mission of e-Agriculture is to facilitate the discussion on the adoption and use of ICTs and digital innovations in agriculture, forestry, fisheries, natural resource management and rural development. E-agriculture is seen as an emerging field focusing on the enhancement of agricultural and rural development through improved information and communication processes.

The Sri Lanka E-agriculture Strategy[3] has been prepared through extensive research and stakeholder consultation from multiple sectors and has taken into consideration the fact that ICT would influence peoples life from many different aspects, not only agriculture, and will act as an efficiency multiplier that enables people and processes to achieve higher level of efficiency, efficacy and enhance the overall quality of life. It leverages on the existing ICT developments that impact agriculture in Sri Lanka and aims to mainstream it.

2.1. Status of E-agriculture Services from MOA/DOA

[2] https://www.treasury.gov.lk/web/budget-documents-2025

[3] https://www.fao.org/faolex/results/details/en/c/LEX-FAOC169703/

Department of Agriculture (DOA) under the Ministry of Agriculture (MOA) bears the responsibility of technology generation and extension service in the food crop sector in Sri Lanka. DOA has already initiated following e-agriculture programs.

- The DOA website (https://doa.gov.lk/):

  This provides agricultural technical information and also access to agriculture publications, videos and radio programs. It is updated from time to time. It provides information on recommended new crop varieties, SEPC publications and various types of agriculture publications.

- Wikigoviya web site (www.goviya.lk):

  This was developed to facilitate all stakeholders in agriculture to have progressive dialogues on agriculture issues and establish public knowledge repository in this area. It also facilitates distance learning in agriculture and ICTs (e-learning). Interactive Multimedia (IMM) CDs produced by DOA on various crops and subjects have been uploaded for e-learning. Wikigoviya is available in both Sinhala and Tamil.

- Krushilanka agriculture portal (www.krushilanka.gov.lk):

  This exposes to all agriculture related institutes and their services for the agricultural sector. The home page has provided access to number of ministries, departments, statutory boards and authorities, banks, international organizations and private sectors which work for agricultural development in Sri Lanka. Krushi Lanka Gateway includes information on food crops, livestock, plantation crops, export agriculture crops, floriculture, medicinal plants, agriculture advisory services etc.

- AgMIS (Agriculture Management Information System):

  This is operated by the National Agriculture Information and Communication Center (NAICC), Gannoruwa under DOA. It contains information on seed and planting material, crop forecasting, SL GAP certification system, weather forecasting, asset management, fruit stakeholders management, agriculture schools and pesticide import.

- Rice Knowledge Bank website: http://www.knowledgebank.irri.org/country-specific/asia/rice-knowledge-for-sri-lanka

  This is the country information system for rice cultivation implemented with the assistance of International Rice Research Institute (IRRI) to cater to the field staff in agriculture. The IRRI is sharing the rice related knowledge between scientists and other stakeholders in the world. The Sri Lanka page highlights country-specific, up-to-date information on rice and rice-based cropping systems for farmers and extension workers in Sri Lanka. One important feature of the site is 'Rice Doctor., which provides tools to diagnose field problems and remedies.

- Call Center (TP No. 1920) for Agriculture Advisory Service:

  'Govi Sahana Sarana' agriculture advisory service is linked with all land and mobile telephone service providers in Sri Lanka. Farmers can directly contact agriculture technical officers (Agriculture Instructors) in the service through this contact number. All conversations are recorded and all information gathered into 1920 call centre database. This e-agriculture initiative was launched in 2006 as "Govi Sahana Sarana Sevaya". Advisory for all agricultural food crops, minor export crops, coconut cultivation as well as any other agricultural issue can be obtained by calling the 1920 short code https://doa.gov.lk/naicc-services-1920-call-center/.

- e-SMS Service:

  The e-SMS service is integrated with the above 1920 advisory service. Farmers can send messages to krushifm team to discuss their matters in radio programs and send messages to Call Centre team requesting advice for their issues. They can also register for different crops, which enable them to get timely relevant messages via SMSs. Krushi SMS alert System (+94 712 011920) is for dissemination of short messages/alerts which were developed with the help of DOA Scientists to registered users for 10 selected food crops (Paddy, Maize, Chili, Big Onion, Banana, Papaya, Potato, Tomato Brinjal and Luffa). This SMS service provides necessary information in a synchronized manner of their farming practices when notified in advance to their cropping activities.

- Krushi FM web radio (www.krushifm.lk):

  This is operated by Farm Broadcasting Service under the DOA. It aims at functioning as a separate radio channel for agriculture sector in Sri Lanka. The web-based program has been enabled for android phones through the app called Krushifm. Variety of programs are produced and broadcasted with the cooperation of other institutions like Department of Animal Production and Health, Department of Export Agriculture Crops, Department of Irrigation, Department of Agrarian Services, Department of Botanic Gardens, Mahaweli Development Authority, etc.

- Agriculture videos on the Internet:

  Links:https://vimeo.com/user3815270,
  www.youtube.com/channel/UCBegMRLuc6kMVphVETVB0Ow

  Govi Bimata Arunalu (awareness program on timely relevant technologies), Mihikatha Dinuwo (success stories of farmers) and Ketha Batha Kamatha (documentary on traditional agriculture knowledge) video programs are produced by DOA weekly and telecasted via National Television Service channel. The Vimeo site provides public access to all videos produced by Audio Visual Centre of DOA.

- Use of Social Media:

  The DOA also uses social media such as Facebook, Twitter and Google+. This helps creating awareness of new technological developments, important news etc. among the public.

- Govi Mithuru project: https://www.dialog.lk/govi-mithuru

  This is a mobile agriculture initiative implemented by Dialog Telecom, Centre for Agriculture and Bioscience International (CABI) and DOA. This service is specially designed to help farmers by sending the right Information at the right time for each farmer's needs, correctly tailored for their crop, location and stage of cultivation.

- Market price Information Systems:

Daily market price information is provided over the mobile phones by two mobile networks. '6666' short code is operated by Mobitel network and '977' is operated by Dialog network. HARTI under the MOA updates their crop market price information system daily through their field staff and provides Interactive Voice Response System (IVRS) service to public through Mobitel mobile network.

- Seed and Planting Material Management Information System:

  The DOA and the Ministry require real-time seed and planting material information to monitor their production, certification, distribution, sales and available stocks. The software has been developed since August 2014. It has to be integrated with the activities of Seed Certification Service, National Plant Quarantine Service, Seed certification and Plant Protection Centre, and Seed and Planting Material Development Center. At Present the program is being developed by NAICC and SPMDC (https://doa.gov.lk/naicc-services-ict-programs-mis/)

- Mobile based integrated agriculture advisory service:

  An integrated ICT approach is required to streamline and strengthen agriculture extension and advisory services including 1920 call center, SMS service (push and pull), field problems diagnostic tools, field visits of extension staff, experts' consultancies and progress monitoring.

- Food crop forecasting and marketing information service:

  Real time information system for cultivation extent and yield forecasting is an urgent need to monitor the progress of National Food Crop Production Program. This information is also important to strengthen the value chain in agriculture to avoid over production or scarcity of food crop production in the country.

- Pesticide registration and pesticide information e-service:

  Registration, marketing and use of pesticides are governed by the Pesticide Registration Act and implemented by the Office of Registrar of Pesticides of the DOA. Pesticide testing and registration process can be monitored through an information system, which may increase awareness to pesticide companies, administrators and policy makers. Pesticide recommendations with relevant information can be transferred through an e-service.

- Plant protection e-service:

  Pest and disease diagnostic tools can be introduced as mobile and web based applications. This may reduce the over use of pesticides and promote Integrated Pest Management Methodologies.

- Research information management system:

  Sri Lanka Council for Agriculture Research Policy compiles information collected from research institutions, but there is a need to establish full-fledged information system that enables research information to be shared among scientist and provides an access to online repository.

- Soil test results e-service:

  DOA research stations provide soil-testing facilities to farmers. All results are given manually and processes can’t be monitored. Web based and mobilebased information system can provide e-service for soil testing results as well as enable tracking progress.

- E-agriculture library service:

  IMMCDs, video on demand, bibliography service will be effective through an IT solution. E-learning mechanism could also be introduced through this system.

- Natural resources management information services:

  NRMC of the DOA implements Soil Conservation Act and Regulations. Access to eapplications and e-reports related to the regulations should be available online. Access to soil and weather information for different agro climatic zones can also be made possible through IT solution.

- Plant genetic resources information service:

  DOA has one of the most important Plant Genetic Resources Centre (PGRC) in South Asia and information related to conservation could be made available online.

- Agriculture diploma students’ information system:

  DOA has conducted agriculture diploma course at five agriculture schools under the NVQ level six. Students’ evaluation has been done manually, which can be made available online to students. At the same time, e-learning mechanism could be introduced to strengthen the agriculture education in the country.

- Plant quarantine e-service:

  National Plant Quarantine Service (NPQS) of DOA is authorized to implement plant quarantine regulations under the Plant Protection Act. The plant quarantine offices have been located at the major seaport and airports. Imports and exports at those locations are under control of the Custom Authority which plans to introduce a single window platform. NPQS involves in issuing phytosanitary certificates to exporters as well as for searching pest and disease risk in importing agriculture living material. There is a need for an information system to monitor all plant quarantine activities at the seaport and airport.

- Weather forecasting and advisory service:

  As climate change has adversely affected agriculture sector, daily weather forecasting and advisory service (especially location specific services) will be very useful to farmers. Such a system could be implemented as a joint program of the Natural Resource Management Centre of the DOA and the Meteorological Department.

- Land use and soil conservation mapping and e-information system:

  Land development and soil conservation has been identified as crucial factors of agriculture in the country and such information system may help all stakeholders in agriculture in improving the land information and use.

- Geo-spatial information service:

  Establishment of geo-spatial information service will help the Department of Agriculture, the Ministry of Agriculture and other stakeholders, to take correct decisions based on real time information. It would also empower the current crop insurance scheme.

- Farm Machinery e-information service:

  Farm mechanization is a high priority in accordance with the present National Food Production Program. Proper ICT solution may increase the production, distribution and use of farm machineries.

2.2. GeoGovia (IWMI/MOA/DAD)[4]

GeoGoviya is a smart farming platform that integrates various digital tools and services to support the agricultural sector at a national level. It serves as a centralized hub for gathering, analyzing, and disseminating agricultural data and information, enabling farmers, policymakers, researchers, and other stakeholders to make informed decisions and improve agricultural productivity.

In consultation with the Asian Development Bank, IWMI will assist the Ministry of Agriculture of Sri Lanka, Department of Agrarian Development (DAD), other departments under the ministry in upgrading DAD's GeoGoviya platform and associated IT systems and digital tools; improving data collection and analyses for weather and agronomic advisory services and monitoring and evaluation of agronomic services; developing use cases of the GeoGoviya platform for a wide range of stakeholders; and preparing a strategy and institutional framework for upgrading the GeoGoviya platform as a national digital agriculture platform.

3. Other Policies and Strategies

Several Acts and strategic plans have been reviewed to understand how they are relevant to the rice production industry of Sri Lanka. The relevance is discussed below.

3.1. Agrarian Development Act No. 46 of 2000[5]

The Agrarian Development Act No. 46 of 2000 is a Sri Lankan law focused on land ownership, cultivation, and the rights of tenant cultivators of paddy lands. It aims at ensuring the optimal utilization of agricultural land for production and setting up policies regarding tenant cultivators and restrictions on non-agricultural use of land. The Act also establishes Agrarian Development Councils, a Land Bank, and Agrarian Tribunals to oversee these matters.

Purpose of the Act is to establish a national policy for tenant cultivators and restrict the use of agricultural land for non-agricultural purposes.

Key Provisions under the Act is as follows:

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[4] https://geogoviya.com/reports/

[5] https://www.srilankalaw.lk/YearWisePdf/2000/AGRARIAN_DEVELOPMENT_ACT,_No._46_OF_2000.pdf

i. It defines tenant cultivators and their rights, including the right to occupy and use paddy lands;
ii. It provides the land ownership for the sale of paddy lands to tenant cultivators;
iii. It establishes the Agrarian Development Councils to manage agricultural development and implement the Act's provisions;
iv. It provides for the establishment of a land bank to manage and allocate land resources;
v. It establishes agrarian tribunals to resolve disputes related to agrarian matters; and
vi. It repeals the Agrarian Services Act, No. 58 of 1979.

Further, the Act covers various aspects of land use, including cultivation practices, water management, soil conservation and pest control, irrigation works, interference with irrigation works, flow of waste matter to paddy lands, compulsory acquisition of agricultural land, establishment of Farmers' Organizations, registration of agricultural land, procedure for eviction of tenant cultivators and rent determination and payment.

3.2. Sri Lanka Country Strategic Plan (2023–2027) by WFP[6]

The country strategic plan for 2023–2027 seeks to provide protective food assistance and other support as required in the short term and to restore and improve food security and nutrition by developing in-country capacity and reducing vulnerability through an integrated resilience and nutrition-sensitive approach that layers and sequences programming. The plan embodies the humanitarian–development–peace nexus by enabling the Government to establish stronger systems that reduce the impact of shocks while fostering gender equality, increasing the population's ability to recover and ensuring lasting peace. The country strategic plan seeks to address immediate and medium to long term needs through a systems approach to capacity strengthening. Leveraging its comparative advantages in Sri Lanka, WFP will deliver four outcomes as:

i. Vulnerable communities in Sri Lanka meet their food, nutrition and other essential needs during and after crises;
ii. By 2027, targeted groups in Sri Lanka have improved nutrition from strengthened nutrition-sensitive and nutrition-specific programmes focusing on, in particular, the first 8,000 days of life;
iii. By 2027, communities in Sri Lanka have strengthened resilience and reduced vulnerability to natural hazards, climate change and other risks with improved sustainability of livelihoods; and
iv. By 2027, national and subnational institutions and stakeholders in Sri Lanka have enhanced capacity to enable adaptive and resilient food systems to improve food security and nutrition.

[6] https://www.wfp.org/operations/lk02-sri-lanka-country-strategic-plan-2023-2027

The country strategic plan, developed in consultation with the Government and other stakeholders, is strategically aligned with the national policy framework, the United Nations sustainable development cooperation framework for 2023–2027 for Sri Lanka and the WFP strategic plan for 2022–2025. It is informed by contextual, gender and gap analyses, especially the 2021 United Nations common country analysis.

3.3. National Water Resources Policy of Sri Lanka (2021)[7]

The overall objective of this policy is to encourage integrated water resources development and management, in order to ensure that the water resources are conserved, efficiently managed and fairly allocated among all stakeholders to meet the needs of the society and the environment with an ultimate goal towards sustainable economic development of the country. It is also intended to address the emerging challenges of climate change, natural and man-made disasters, urbanization and population dynamics, and poor governance.

The thrust areas identified in National Water Resources Policy are given below:

1. Water Resources Assessment (both surface water and groundwater) and database management including data custodianship, climate change impacts, virtual water and water footprint calculation;
2. Water Resources Planning for national and regional development (review of existing plans, set out national policies, regulations and standards, approval of water resources development plans, including aesthetic, heritage (archaeological) and natural values).
3. Current Water Resources Development and policies for the future
4. Conflict Management (dispute resolutions among sectors and institutes and communities)
5. Demand management of water and water allocation among sectors and reallocation
6. Basin level water management (at national, regional and local levels; riverine management for sustainability of surface water sources, cascade systems)
7. Water related disaster management (such as floods and droughts)
8. Economics of water projects (Set out standards for economic valuation of Water Resources and Management Infrastructure, investments by external lending agencies, National and international cooperation, Adaption of international convention treaties)
9. Domestic Water Supply and Sanitation (Include drainage)
10. Management of Urban water bodies (include land filling, reclamation, pollution control and wastage)
11. Water quality, pollution and contamination of water sources (include Assurance of the sustainability of ecosystems)
12. Safety and security of water related infrastructure (Include operation, maintenance and assurance) assuring the protection and sustainability of globally and nationally important water heritage systems.

[7] https://env.gov.lk/web/index.php/en/downloads/policies

13. Watershed management and protection of water sources and natural springs (Include prevention of pollution and contamination of water sources, land use and land tenure)
14. Regulation and control of water usage in irrigated and rain-fed agriculture through the adoption of best practices;
15. Stakeholder participation (Include involvement of farmers, other key stakeholders, local officials and Institutions)
16. Capacity Development, research and training (include role of universities, research institutes and schools)
17. Legal and institutional framework (Including a National Water Resources Act, updating regulations, establishment of proposed new institutions, rationalization of functions among existing institutions)
18. Social and cultural issues (hydro politics, water governance, social inclusion and social empowerment, gender and ethnic concerns, water for poverty alleviation etc.)

3.4. National Policy on Climate Change (2023)[8]

The policy was formulated by the Ministry of Environment and declared in 2023. Nine policy goals are expected by adopting the policy. Among them the goal 8 indicates the importance of establishing weather and climate early warning systems with a reasonable lead time and a finer spatial resolution. Further, the goal 6 expects to achieve carbon neutrality by 2050 through GHG emission reduction and carbon sequestration. Agriculture accounts for 25.1% (4.71 million tonnes CO_2e) of the country's total greenhouse gas (GHG) emissions. Of this, GHG emissions from cropland (mostly rice cultivation and cultivation of organic soils) account for 69.5% of total emissions, while the livestock sector (especially enteric fermentation) accounts for 30.5 %.

Following policy statements are included in the document.

1. Governance and Regulatory
   - i. Climate actions are integrated to the development agenda.
   - ii. Legal and regulatory frameworks to tackle climate change and environment sustainability are constituted.
   - iii. Climate sensitivity of the nation is enhanced through developing resilience and adaptive capacity.
2. Climate Vulnerability
   - iv. Climate−induced risks are reduced.
   - v. National−level collaboration, Co−operation, coordination, and partnerships in climate action is assured.
3. Reducing Greenhouse Gas emissions
   - vi. Greenhouse gas emissions reduced, and Net Zero Economy ensured.

[8] http://env.gov.lk/web/images/downloads/policies/2024/NCCP_2023_-_ENGLISH_-_WEB_VERSION.pdf

vii. Market and non−market−based instruments for climate actionsare adopted.

4. Climate Adaptation

viii. Sustainable management of natural resources, biological diversity and ecosystem services is ensured.

ix. Food security and poverty alleviation are addressed.

x. Human and environmental health are improved.

5. Climate Investment and Financing

xi. Investments in research and development in climate actions are secured.

xii. Financing and resource mobilization for climate action are assured.

xiii. Develop mechanisms to access international climate finance.

6. Technology Development and Transfer, and Climate Information Management

xiv. Development of effective climate−technology, transfer, and adoption are ensured.

xv. Effective management, sharing and the use of climate data andinformation are ensured.

7. Cross-cutting

xvi. Sustainable Development achieved through climate change adaptation and mitigation.

xvii. International collaboration and cooperation for climate action are assured.

xviii. Just transition is adopted as an approach to reach a carbon− neutral economy.

xix. Loss and damage impact due to climate change are addressed.

3.5. Carbon Net Zero 2050 Roadmap and Strategic Plan Sri Lanka (2023)[9]

The strategic plan proposes to remove paddy straw from paddy fields for various purposes to minimize GHG emissions as mentioned under mitigation activities. In this exercise crop diversification in paddy fields (as recommended in the NDCs) is not encouraged due to the fact that paddy production should be kept stable and all paddy soils are not suitable for crops like soybean, onion, groundnut etc.

The mitigation actions proposed to reduce GHG emissions from the agriculture sector activities include:

- Reduction of methane and nitrous oxide generation in paddy fields by the removal of straw and using them for manufacturing paper and boards used in construction industry, production of biofuels, and in the packaging industry.

[9] Dharmasena, P.B. and Chandima Gunasena, 2024. Development of a Strategic Plan to Reduce GHG Emission in Sri Lankan Agriculture, Journal of Environmental & Analytical Toxicology, Research Article Volume 14:01, 2024

- Reduction of methane generation from cattle by feed quality improvements, night feeding and supply of water and improvement in animal comfort.
- Manure management and soil tillage reduction.
- Reduction of nitrous oxide emissions from agricultural lands by reduction of artificial fertilizer applications.

The strategic plan also suggests 'evergreen agro-ecosystem concept' to maintain a year around green cover in paddy fields to encourage C sequestration.

4. Fertilizer and Pesticide Policies for Rice Cultivation

4.1. Fertilizer Subsidy Policy

The Government of Sri Lanka introduced the first fertilizer subsidy policy in 1962 with the objective of providing fertilizer at a lower price to encourage farmers to use it extensively and maximize the benefits from high yielding varieties (Ekanayake, 2006)[10]. This subsidy program is one of the long-lasting, most expensive and most politically-sensitive policies implemented to promote paddy cultivation in Sri Lanka (Weerahewa et al., 2010)[11]. The recent policy change on the import ban of fertilizer and other agrochemicals has received significant political and social attention. Although fertilizer and other agrochemicals boost agricultural productivity, the government's decision was grounded on the environmental and health consequences of using chemicals, foreign exchange drain, and the introduction of eco-friendly substitutes. The environmental and health hazards associated with the increased and indiscriminate use of agrochemicals, particularly synthetic fertilizers and pesticides in Sri Lanka are well-documented (Balasooriya et al., 2017)[12]. With this background the government imposed the Import and Export (control) Regulation No 7 of 2021 by banning the import of synthetic fertilizers and pesticides in 2021 and declared a green agricultural movement with the objective of making agricultural systems more financially and environmentally sustainable.

Subsequently, the Government eased the restriction and allowed private sector to import chemical fertilizers by issuing licenses. However, fertilizer importation did not resume in full force probably due to the restrictions in foreign exchange outflow and the soaring global market prices of fertilizer. This swift change in the policy into organic farming and banning agrochemicals has negatively affected the paddy sector. Therefore, a two-pronged approach to understand both supply and demand-side weaknesses of this fertilizer policy is crucial in general and paddy in particular, for adoption of a well-informed fertilizer policy in the future. Chemical fertilizer usage by farmers from 2016 to 2022 is given in Table 4.1.

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[10] Ekanayake, H.K.J., 2006. 'The Impact of Fertilizer Subsidy on Paddy Cultivation in Sri Lanka', Staff Studies, The Central Bank of Sri Lanka, Volume 36, Nos. 1 & 2. pp.73-101

[11] Weerahewa, J., Kodithuwakku, S.S. and Ariyawardana, A., 2010. Fertilizer subsidy in Sri Lanka. Case Study No.7- 11 of the food policy for developing countries: the role of government in the global food system, Cornell University, Ithaca, New York.

[12] Balasooriya, B.M.J.K., Chaminda, G.G.T., Ellawala, K.C. & Kawakami, T., 2017. Comparison of groundwater quality in Southern province. 5th International Symposium on Advances in Civil and Environmental Engineering Practices for Sustainable Development, pp. 153-160.

Table 4.1. Chemical fertilizer usage by farmers (2016 – 2022)

Year	Urea ('000 MT)	TSP ('000 MT)	MOP ('000 MT)
2016	235.8	46.1	79.7
2017	304.3	40.5	101.2
2018	317.9	57.7	131.7
2019	274.8	55.2	127.8
2020	478.5	76.7	198.1
2021	221.6	43.2	129.6
2022	179.9	4.3	28.7

Source: National Fertilizer Secretariat, Ministry of Agriculture

The Sri Lankan Government implemented a ban on chemical fertilizer imports in 2021, aiming to promote organic farming, which drastically reduced the availability of chemical fertilizers for farmers. This ban significantly impacted rice production during the 2021/2022 *maha* season, leading to a substantial yield decrease. The ban led to a 60% decrease in fertilizer imports and a 52% yield loss. The price of chemical fertilizers increased from Rs. 30 per kilogram to Rs. 400 per kilogram. The ban made it difficult for farmers to afford chemical fertilizers. To help farmers, the FAO Sri Lanka provided 50% of the fertilizer needed for smallholder farmers with land holdings up to 1 acre. The ban encouraged farmers to use Integrated Plant Nutrient Management Systems (IPNMS). IPNMS uses organic, inorganic, and biological resources to provide nutrients for plants.

In 2022, the Government allowed limited imports of chemical fertilizers, mainly urea, which helped to partially recover rice production in the 2022/2023 *maha* season. In 2023, there was a partial recovery with limited imports of chemical fertilizers, primarily urea, being allowed, although still not at pre-ban levels. Many farmers reported difficulties in transitioning to fully organic farming due to the lack of readily available and effective organic fertilizers. In 2024, smallholder rice farmers in Sri Lanka used less chemical fertilizer than recommended due to high costs and import restrictions.

4.2. Pesticides Use

Pesticides play a crucial role in the management of pests, which include insects, weeds, and fungi, in paddy cultivation. These chemicals are applied to protect paddy crops from pests and diseases that can result in yield loss and negative impact on the quality of the grains. Pesticide usage in paddy cultivation is often necessary for farmers to prevent pest infestations and ensure optimal crop growth. While playing a crucial role in paddy cultivation, excessive use can harm the environment and human health. An import ban on pesticides was also implemented due to their potential harmful effects.

A study conducted by Bandara et al (2023)[13] showed that after the import ban was imposed, the majority of farmers (71%) obtained their pesticides from the open market, while 21% used what they had in their possession. Interestingly, 16% of farmers purchased pesticides from the informal market, indicating a higher tendency for the use of informal markets for procuring pesticides compared to fertilizers, which was 7%.

Farmers largely depend on chemical methods to control pest, disease and weeds and majority apply pesticides followed by the first observation of symptoms (Buhary et al., 2021)[14]. The above study showed that 92% of farmers strongly believed that it is essential to have chemical pesticides to control pest and diseases in the paddy cultivation. In addition, a significant proportion of farmers (67%) reported facing difficulties due to unavailability of these chemicals.

5. Major Bilateral and Multilateral Assistance Programs

Here are some bilateral and multilateral assistance programs for agriculture in Sri Lanka (Table 5.1).

Table 5.1. Summary of Major Assistance Programmes for agriculture in Sri Lanka

Name of the Programs	Funding agency	Implementation period	Amount of funding	Implementing agency
Agriculture Sector Revitalization (extension)	USAID	2024-2027	US$ 9.2 million	Ministry of Agriculture
The Country Programming Framework (CPF)	FAO	2018-2022		FAO
Climate Smart Irrigated Agriculture Project	WB	2018-2024	US$ 110 million	Ministry of Agriculture
Good Agricultural Practices (GAP)	FAO/ UN SL SDG Fund	2023-2027		FAO
Smallholder Agribusiness and Resilience Project (SARP)	IFAD	2021-2027	US$ 82 million	Ministry of Agriculture
Agriculture modernization project	WB	2016-2021	US$ 169.8 million	Ministry of Agriculture
GKP Knuckles project	Green	Six years	US$ 47.8	Ministry of

[13] Bandara M.A.C.S., Rifana Buhary, M.H.K.Rambodagedara, 2023. Import Ban of Fertilizer and Other Agrochemicals (2021): Assessing Short-Term Effects on the Paddy Sector. Research Report No: 255, HARTI.

[14] Buhary, R., Weerakkody, R., Dharmawardhana, T., Dissanayaka, A., Kuruppu, V., Ratnayake, D. (2021). Mobile based solution for pest and disease management in paddy cultivation: Lessons learnt from deployment. Hector Kobbekaduwa Agrarian Research and Training Institute, Colombo.

	Climate Fund		million	Irrigation

5.1. Agriculture Sector Revitalization (Extension)[15]

USAID is funding the four-year extension of support to Sri Lankan paddy farmers, which will benefit 10,000 farmers across four districts – Hambanthota, Vauniya, Anuradhapura and Kurunegala. FAO and the MOA will help farmers diversify use of 1,250 hectares of paddy lands during the Yala cultivation season to grow suitable cash crops. In addition, the activity will help farmers use resources such as water and fertilizer more efficiently across 5,000 acres of paddy. The funds also will help establish streamlined supply chains to ensure the timely availability of supplies and machinery to farmers at affordable prices.

The project builds on the United States' 2022 donation of 36,000 metric tons of TSP and 9,800 metric tons of urea in the midst of the country's economic and food security crisis, which FAO and the ministry distributed to more than 1 million farmers.

5.2. The Country Programming Framework (CPF) of FAO[16]

The framework sets out three government priority areas to guide the FAO partnership with and support to the Government of Sri Lanka – bringing together innovative international practices and global standards with national and regional expertise over five years from 2018 to 2022.

Priority Area 1: increased contribution of food systems to food and nutrition security and income generation;

Priority Area 2: more sustainably managed natural resources taking account of climate change and increased resiliency of the most vulnerable to shocks, natural disasters and climate variability;

Priority Area 3: increased capacity of stakeholders to undertake policy formulation and to collect, analyse and utilize data and information for evidence based decision making.

The overarching goal of FAO's programme in Sri Lanka continues to be the reduction of food insecurity, malnutrition and vulnerabilities, and the sustainable management and use of the country's natural resources.

5.3. Climate Smart Irrigated Agriculture Project (WB)[17]

The Climate Smart Irrigated Agriculture Project (CSIAP) is implemented by the Ministry of Agriculture since 2019. The CSIAP is aiming at improving climate resilience of farmer families and productivity of irrigated agriculture in climatically vulnerable 11 districts in dry zone of Sri Lanka. This is a World Bank funded project costing US$ 125 million and the World Bank contribution is US$ 110 million. 1,700 minor/medium irrigation schemes will be rehabilitated to benefit over 60,000 farm families. Currently the CSIAP is providing an additional handholding

[15] United Nations Sri Lanka, 2024. FAO, USAID, and Ministry of Agriculture Partner to Continue Agriculture Sector Revitalization

[16] FAO in Sri Lanka, 2018. Programmes and Projects, Programmes in Sri Lanka

[17] https://csiap.lk/

support to the government to ensure food security in the country. Project duration is 5 years from 2018 to 2024.

There are 4 components under this project:

1. Agriculture production and marketing - climate smart agriculture and water technology, marketing
2. Water for agriculture - rehabilitation of irrigation systems, Operation and maintenance of irrigation systems
3. Project management - to ensure smooth coordination of activity implementation by various agencies and strategic partners at national and subnational levels.
4. Contingent emergency response - in the event of a natural disaster or crisis that has caused or is likely to imminently cause a major adverse economic and/or social impact.

5.4. Good Agricultural Practices (GAP)[18]

The FAO of the United Nations modernized farms and introduced Good Agricultural Practices (GAP) to over 600 smallholder vegetable farmers in Badulla, Monaragala, and Mullaitivu districts. The program focused on equipping targeted farmers with the tools and knowledge necessary for effective adoption of modern, climate-resilient approaches to agriculture. Emphasizing the adoption of GAP, participants were provided with agriculture kits tailored for a land area of 0.25 acres. These kits comprised essential components such as drip irrigation systems, plastic mulch, insect-proof nets, and Galvanized Iron (GI) pipes, enabling efficient resource utilization and cost reduction.

In addition, FAO facilitated capacity building through Farmer Field Schools (FFS), empowering farmers with the expertise necessary to achieve GAP certification. Furthermore, smallholder farmers received cash assistance through the World Food Program (WFP), helping them meet their food and nutrition needs during the transition phase.

This intervention is a part of a joint food security initiative, funded by the UN Sri Lanka SDG Fund. The Fund promotes innovative, catalytic, and transformative initiatives that align with the national priorities and the United Nations Sustainable Development Cooperation Framework (2023-2027).

Looking ahead, FAO Sri Lanka remains committed to nurturing agricultural modernization and uplifting farmers' livelihoods, paving the way for a resilient and prosperous agricultural sector in Sri Lanka.

5.5. Smallholder Agribusiness and Resilience Project (SARP)[19]

[18] B.A.D.S. Bamunuarachchi, Sagarika Hitihamu, M.D. Susila Lurdu, 2019. Good Agricultural Practices (GAP)
in Sri Lanka: Status, Challenges and Policy Interventions, Research report 227. HARTI, Colombo

[19] https://www.agrimin.gov.lk/web/index.php/project/12-project/2456-09-12-2024-2e?lang=en

Smallholder Agribusiness and Resilience Project (SARP), a six year project (2021-2027) jointly financed approximately USD 82 million by the International Fund for Agricultural Development (IFAD), the Government of Sri Lanka and other stakeholders aims to build resilience and market participation of 40,000 rural households (180,000 persons) in mostly affected 03 river basins and 06 districts of Sri Lanka by climate change. Six districts are Puttalam Kurunegala, Matale, Anuradhapura, Vauniya and Mannar. Three river basins are Malwathu oya, Mee oya, and Deduru oya river basins.

Main components of the project are capacity building for climate resilience and inclusive value chains, combined with investments for climate resilience and inclusive value chains including development of last mile infrastructure. The project objective is to build resilience and market participation of 40,000 rural smallholder households in the project area (180,000 persons) with women and youth constituting 50 % (90,000) and 20% (36,000) respectively.

5.6. Agriculture Sector Modernization Project[20]

The World Bank funded Agriculture Sector Modernization Project is aligned with the Country Partnership Strategy (CPS) 2013-2016 (Report 66286-LK, May 22, 2012). The project seeks to contribute to two CPS focus areas, namely: "Supporting structural shifts in the economy" and "Improved living standards and social inclusion" through:

a. Improving agricultural productivity and competitiveness to strengthen the links between rural and urban areas and facilitate Sri Lanka's structural transformation;

b. Providing and strengthening rural livelihood sources, employment opportunities in agriculture and along agriculture value chains, as well as market access for the poor, bottom 40 percent, and vulnerable people, thereby improving income sources and livelihood security in lagging rural areas; and

c. Contributing to improved flood and drought management, through project's linkages to the water and irrigation sectors and a climate-smart agriculture approach. The project is also to promote diversification, value addition and increased competitiveness in the agriculture sector.

The development objectives of Agriculture Sector Modernization Project for Sri Lanka are to support increasing agriculture productivity, improving market access, and enhancing value addition of smallholder farmers and agribusinesses in the project areas.

This project has three components as Agriculture Value Chain Development, Productivity Enhancement and Diversification Demonstrations and Project Management, Monitoring and Evaluation.

5.7. GKP Knuckles Project[21]

[20] https://www.agrimin.gov.lk/web/index.php/project/12-project/841-agriculture-sector-modernization-project

[21] https://gkp.lk/

The GCF Knuckles project enhances the harmony of thriving forests and diverse wildlife with sustainable livelihoods. By addressing both conservation and community needs, the project contributes to preserving the unique biodiversity of Knuckles while uplifting local livelihoods. The GKP Knuckles Project is implemented by Ministry of Irrigation with the funds from Green Climate Fund.

The project supports 1.34 million people (51.4% women) through climate-resilient livelihoods while safeguarding 346,000 hectares of ecosystems. It focuses on land management, including streamside protection and sustainable agriculture; financing mechanisms, like green value chains and payment for ecosystem services; and institutional capacity building, with governance frameworks and rural advisory services. The project components are:

1. Climate-Resilient Sustainable Land Management;
2. Secure Financing Mechanisms for Sustainable Land Management; and
3. Institutional capacity strengthened (Institutional support).

6. Paddy Extent & Production in Sri Lanka

The extent of paddy cultivation, including land prepared for cultivation (*asweddumized*), sown, and harvested, has been recorded on a complete enumeration basis since 1951 in Sri Lanka. This method of data collection has been continued each season with the active cooperation of the Agricultural Research and Production Assistants (ARPA)/ Grama Niladari (GN) who act as primary reporters.

6.1. Extent, Yield and Production

The average yield of paddy in Sri Lanka at the district level is estimated through a sample survey known as "the crop cutting survey". Currently a sample of 4,000 paddy tracts for the main season (*maha*) and 4,000 paddy tracts for the second (yala) are selected for experimentation. The *maha* season is the period from September to March, while the *yala* season is from April to the end of August. The estimate of paddy production is obtained for each season by multiplying the harvested acreage by the average yield. Past data in this regard are shown in Table 6.1 and 6.2 for last 5 years from 2018/19 *maha* to 2023/24 *maha* season.

Table 6.1 Paddy extent, average yield and production in past 6 *maha* seasons

Season	Harvested extent ('000 ha)	Avg. yield (kg/ha)	Production ('000 mt)
2018/19 *maha*	724	4,567	3,073
2019/20 *maha*	740	4,531	3,197
2020/21 *maha*	762	4,307	3,061
2021/22 *maha*	766	2,853	1,931
2022/23 *maha*	808	3,554	2,696
2023/24 *maha*	785	3,712	2,722

Source: Agriculture and Environmental Statistics Division, Department of Census & Statistics

Table 6.2. Paddy extent, average yield and production in past 5 *yala* seasons

Season	Harvested extent ('000 ha)	Avg. yield (kg/ha)	Production ('000 mt)
2019 *yala*	346	4,896	1,520
2020 *yala*	451	4,552	1,924
2021 *yala*	497	4,309	2,088
2022 *yala*	480	3,207	1,462
2023 *yala*	492	3,822	1,817

Source: Agriculture and Environmental Statistics Division, Department of Census & Statistics

6.2. Paddy Statistics by Major Varieties

Cultivated area of different type of varieties during last 5 *yala* and *maha* seasons are given in Table 6.3 and 6.4 respectively.

Table 6.3. Cultivated extent of different rice varieties during *yala* season

Season	Extent cultivated (ha)	Extent cultivated using different variety classes ((ha)				
		Short grain red	Long grain red	Short grain white	Long grain white	Other
Yala 2019	368,906	14,723 (4.0%)	87,079 (23.6%)	124,265 (33.7%)	134,568 (36.5%)	8,271 (2.2%)
Yala 2020	456,206	9,729 (2.1%)	117,519 (25.8%)	70,667 (15.5%)	256,461 (56.2%)	1,830 (0.4%)
Yala 2021	501,467	16,994 (3.4%)	113,718 (22.7%)	106,989 (21.3%)	281,987 (52.2%)	2,380 (0.5%)
Yala 2022	481,669	8,303 (1.7%)	119,666 (24.8%)	84,266 (17.5%)	266,798 (55.4%)	636 (0.6%)
Yala 2023	505,076	5,628 (1.1%)	122,426 (24.2%)	88,576 (17.5%)	285,442 (56.5%)	3,004 (0.7%)

Sources: Paddy Statistics, Department of Census and Statistics, Sri Lanka

Table 6.4. Cultivated extent of different rice varieties during *maha* season

Season	Extent	Extent cultivated using different variety classes ((ha)

	cultivated (ha)	Short grain red	Long grain red	Short grain white	Long grain white	Other
Maha 2018/19	748,027	38,456 (5.1%)	140,931 (18.8%)	246,079 (32.9%)	314,809 (42.1%)	7,752 (1.0%)
Maha 2019/20	752,248	21,129 (2.8%)	141,245 (18.8%)	192,910 (25.6%)	393,755 (52.3%)	3,209 (0.4%)
Maha 2020/21	770,240	32,668 (4.2%)	172,186 (22.4%)	165,764 (21.5%)	397,154 (51.6%)	2,468 (0.3%)
Maha 2021/22	775,846	15243 (2.0%)	177,328 (22.9%)	199,839 (25.8%)	380,432 (49.0%)	3,004 (0.4%)
Maha 2022/23	812,601	14,891 (1.8%)	214,971 (26.5%)	299,478 (36.9%)	279,050 (34.3%)	4,211 (0.5%)

Sources: Paddy Statistics, Department of Census and Statistics, Sri Lanka

6.3. Paddy Cultivation Status in 2024

Harvesting of the 2023/24 main *maha* paddy crop, which accounts for about 65% of the annual output, finalized in March 2024 and production is officially estimated at 2.63 million mt, 6 % below the five-year average and 2.4% reduction from the previous *maha* season. Despite above-average sowings, production was constrained by floods, pests and diseases that caused crop losses, especially in paddy-producing districts of Batticaloa and Ampara. In 2024, the mostly irrigated, second *yala* paddy crop, which accounts for about 35% of the annual output, was planted in May 2024 and harvesting commenced in August. Sowings were above average, mostly due to the improved availability of agrochemicals with the gradual recovery of economic activities following the 2021-2022 financial crisis. To encourage paddy sowing, the government announced in March that farmers cultivating paddy during the *yala* 2024 season could receive LKR 15 000/hectare (about USD 50), for up to 2 hectares per farmer, to purchase agricultural inputs. As of late May 2024, remote sensing data indicated good vegetation conditions in most of the country (Adaptive Services Interface map). However, localized crop losses occurred in Northern areas due to dry weather conditions in April and in Southern areas due to heavy rains and floods in May.

7. Rice imports to Sri Lanka

Rice is a staple food in Sri Lanka’s diet and lifestyle. Close to one quarter of the population is directly or indirectly involved in agriculture, and about 40 percent of the arable land is under paddy cultivation through provision of land, free irrigation water, fertilizer subsidies, and price supports. Sri Lanka's rice imports are restricted through taxes or bans to help farmers who don't produce rice at a competitive price or quality. However, the government has relaxed some of these restrictions in response to the economic crisis.

Sri Lanka's most popular rice variety is long grain rice (*nadu*), which makes up about 60% of the country's rice production. Short grain rice (samba) makes up about 22% of the production.

Table 7.1. Rice imports to Sri Lanka (2016-2024)

Year	Rice import (‘000 mt)	Value Rs. Mn.	Remarks/ Reasons for high imports
2016	29.5	625	
2017	747.8	777	Drought that reduced the country's rice production and the government's decision to cut import duties.
2018	248.9	882	
2019	24.2	886	
2020	15.8	1,447	
2021	147.1	1,397	Fertilizer import ban, a severe economic crisis with a public debt crisis and the effects of the COVID-19 pandemic.
2022	783.4	1,966	Drop of production of rice and other domestic food crops with the ban of chemical fertilizers imposed in 2021.
2023	29.6	5,603	
2024	167.0	Not available	The local market experienced a shortage of several rice varieties. Adverse weather conditions impacted local production. Rice prices were rising. There were concerns about food security.

Source: https://drive.google.com/file/d/1WpJRfi-XQHo6FWM3W5ukE-tdBEjxiuw8/view

Sri Lanka's rice imports come from a number of countries, including India, Pakistan, the United States, Thailand, and other Asian countries. In 2023, Sri Lanka imported semi-milled or wholly milled rice from these countries in the following quantities.

Table 7.2. Rice imported from different countries in 2023

Country	**Rice import (‘000 mt)**	**Value (Rs. Mn.)**
India	22.64	3274.5
Pakistan	3.97	1182.1
Other Asia, nes	1.50	281.7
United States	0.81	266.0
Thailand	0.61	160.3
Total	29.53	5164.6

Source: World Integrated Trade Solutions

Sri Lanka has around 90 recommended rice varieties, which are largely classified into Nadu, Samba, Keeri Samba, Raw (Red), Raw (White). These rice varieties can be classified according to their age Table 7.3. These differ greatly in terms of colour, shape, taste and texture. Consumers often buy specific varieties depending on their eating habits and preferences. They may also cook specific varieties of rice for New Year's Day or other festivals. Recently, there has been an increase in the number of consumers who buy traditional varieties of rice that are said to have a low glycemic index (GI) and are therefore less likely to raise blood sugar levels. There are more than 3000 traditional rice varieties in Sri Lanka.

Keeri Samba and Raw (Red) disappeared from the market at the beginning and late 2024 respectively, and caused great inconvenience to consumers seeking these varieties, and it became big news. The cause of this shortage is not very clear, but said to be that the less volume of production of these varieties, and distributors who expected a price hike refrained from releasing specific varieties to the market. In any case, having experienced the market chaos and price hikes that have occurred in recent years, the government has realized the need to keep track of not only the total rice production, but also the production and stock of major varieties.

If a shortage of a particular variety can be predicted, the government can make a timely decision to import a similar variety. Also, if there is a shortage in the market even though production is definitely sufficient, the government can seriously suspect that the shortage is being artificially created by distributors.

Table 7.3. Recommended rice varieties according to the age group in Sri Lanka

Age group	Varieties
2 ½ months	Bg 750, Bg 250, Bg 251(GSR), Bg 252, Ld 253, At 313
3 months	H 10, 62-355, Bg-34-8, Bg 276-5, Bw 272-6b, Bg 300, Bg 301, Bw 302, At 303, Bg 304, Bg 305, At 306, At 307, At 308, At 309, Bg 310, At 311, Bg 314
3 ½ months	H 7, At 16, Bw 266-7, Bw 267-3, Bg 34-6, Bg 94-1, Bg 94-2, Bg 350, Bw 351, Bg 352, At 353, At 354, Ld 355, Ld 356, Bg 357, Bg 358, Bg 359, Bg 360, Bw 361, At 362, Bw 363, Bw 364, Ld 365, Bg 366, Bw 367, Ld 368, Bg 369, Bg 370, Ld 371, Bw 372, At 373, Bg 374, Bg 375, Bg 377, Ld 376, Bg 381 IP
4-4 ½ months	H 4, H 8, Bg 11-11, Bg 90-2, Bg 379-2, Bg 400-1, Bg 380, Ld 66, Bw 78, Bw 100, MI 273, Bw 400, At 401, At 402, Bg 403, At 405, Bg 406, Bg 407H, Ld 408, Bg 450, Bw 451, Bw 452, Bw 453, Bg 454, Bg 455, Bg 409
5-6 months	H 9, Bg 3-5, Bg 38, Bg 407, Bg 745

Bg – Bathalagoda, Ld – Labuduwa, At – Ambalantota, Bw - Bombuwala

Source: https://doa.gov.lk/rrdi_rice_varities/

8. Budget and Expenditures of the Ministry of Agriculture and DOA

The Ministry of Agriculture's estimated total budget cost for the period 2021–2027 is USD 82 million. The Ministry of Agriculture has implemented projects such as the Climate Smart Irrigated Agriculture Project, which was financed by the World Bank. The recurrent expenditure of the Department of Agriculture (DOA) has a positive correlation with the gross domestic production of the agriculture sector. The Ministry of Agriculture has introduced micro irrigation systems to farmers.

Table 8.1. Budget and Expenditures of MOA

Year	Budget (Rs. Mn)		Expenditure (%)	
	Capital	Recurrent	Capital	Recurrent
2019	5,211	44,702		31,321
2020	3,908	25,070	57%	99%
2021	11,827	4,959	7,050	4,874
2022	22,049	4,975	30%	82%
2023	29,507	64,346	82%	96%
2024	47,077	89,923	46,522	66,039
2025	124,828	83,894		

Sources: Performance Reports, Ministry of Agriculture and Department of Agriculture

The irrigation subsector within agriculture receives the largest share of public spending, with a significant percentage dedicated to subsidies. While the rice sector dominates the domestic agriculture component of the budget, other areas like livestock, plantation, and fisheries receive less funding. Despite an increase in absolute expenditure, the percentage of GDP allocated to agriculture has been declining in recent years.

According to available data, the Ministry of Agriculture (MOA) in Sri Lanka is expected to have a significant portion of its 2024 expenditure allocated towards irrigation projects, with subsidies making up a large part of agricultural spending, while other sectors like livestock, fisheries, and research and development receive relatively smaller allocations. Sri Lankan Ministry of Finance's budget documents

Public expenditure on agriculture as a share of total government spending has decreased from 6.4% to 2% between 2014 and 2023. According to available data, in 2019, Sri Lanka's agricultural budget represented a declining share of the total government expenditure, with a trend towards more recurrent spending rather than capital investments; while the absolute amount spent on agriculture increased, its percentage share of GDP and the overall budget decreased significantly, with estimates placing it around 1% of the GDP and 2-6% of the total budget depending on the source.

8.1. Fertilizer Subsidy Programme[22]

[22] https://ecommons.cornell.edu/items/a7c68cf3-e398-4efd-8a5f-53450b75244d

In Sri Lanka, the government provides a fertilizer subsidy program, initially intended to promote rice cultivation, with subsidies for key fertilizers like urea, TSP, and MOP, and has evolved over time, including periods of subsidy removal and adjustments to the types of fertilizers covered.

Evolution of the fertilizer subsidy programme is described below.

i. **Introduction of the Policy:**

In 1962, the Sri Lankan government introduced a fertilizer subsidy policy, marking the start of a price subsidy for fertilizers. It primarily aimed at boosting rice production and aligning with the Green Revolution, where high-yielding crop varieties required increased fertilizer usage. This policy has been a cornerstone of Sri Lankan agriculture ever since, with various adjustments made over time depending on market conditions and government priorities. Objective of the subsidy scheme was to promote the use of fertilizers by making them more affordable for farmers, thereby increasing agricultural productivity, particularly in paddy cultivation. This policy was implemented alongside the introduction of high-yielding crop varieties (HYVs) associated with the Green Revolution. The fertilizer subsidy has been one of the most enduring and politically sensitive policies in Sri Lanka, significantly influencing rice production.

ii. **First Phase (1962 – 1989)**

A fixed fertilizer subsidy was introduced and different fertilizer types were subsidized at different rates. The subsidy was provided for all three main types of fertilizers: Urea (N0, TSP (P) and MOP (K) for 'K' primarily targeted paddy and the subsidy level varied according to the type of crop. In 1975, the Government introduced a uniform subsidy scheme (at a rate of 33 %) for all the crop sectors. The rate was increased 50 % in 1978 and to 85 % for urea and 75 % for other fertilizers in 1979.

Subsidy payments for sulphate of ammonia (SA) and rock phosphate (RP) have ceased in 1988 and that left the price subsidies only for urea, TSP, MOP and the NPK mixture. The Government established the Ceylon Fertilizer Corporation in 1964 and importation by the private sector was banned in 1971. Private sector companies were allowed to import fertilizer since 1977 following the trade liberalization policy and responsibility for administering the subsidy programme was vested in the National Fertilizer Secretariat in 1978.

iii. **Second Phase (1990 – 1994)**

The fertilizer subsidy was completely withdrawn by the government with effect from January 1, 1990. The total use of fertilizer declined in 1990, in the wake of increase in fertilizer prices due to the removal of the subsidy. However, the decrease in consumption was not as low as it was anticipated. Further, with the removal of the subsidy, in order to cushion the adverse impact of sudden price increases of fertilizer, government revised upward the guaranteed price of paddy. Therefore, subsidies were not entertained for the period between 1990 and 1994.

iv. **Third Phase (1995 – 1996)**

A full fertilizer subsidy was reintroduced in 1995 and continued until 1996. Urea, SA, MOP and TSP came under the subsidy, leading to fixed retail price levels. However, the subsidy for SA was withdrawn in 1996.

v. **Fourth Phase (1997 – 2004)**

In 1997, the government decided to restrict the fertilizer subsidy only to Urea. The objective of the new scheme was to provide a higher benefit to paddy farmers especially the small-scale farmers while reducing the burden on the government budget. This scheme was also subjected to revision on a seasonal basis. During this period subsidy had been given in either of the following ways:

a) Selling price of fertilizer is fixed allowing the subsidy component to vary depending on the import price.

b) Subsidy component is fixed allowing the selling price of fertilizer to vary.

During the late 90s the selling price was fixed. Since the price was fixed with a variable subsidy component there was no incentive to the importers to import fertilizer when the world market prices were low. To address this issue the government decided to fix the subsidy component and allow the selling price to vary depending on the world market prices. When the international prices were very high it had an adverse impact on the farmers as the cost of production increased with the increase in fertilizer prices. This situation created financial difficulties particularly for small farmers in the dry zone where paddy cultivation largely exist. Therefore, again in 2004 the government decided to fix retail price of fertilizer. This system continued until December 2005.

vi. Fifth Phase (2005 – 2015)

In December 2005, the government decided to reintroduce the subsidy scheme for all types of fertilizer in their straight form but not as mixtures by fixing their selling price and the scheme was restricted only for the paddy farmers cultivating five or less acres of paddy.

Tea, rubber and coconut smallholder farmers (with less than five acres of land) became eligible for the fertilizer subsidy since 2006. In addition, other crops were also included in the programme in 2011; however, the subsidy rate for them was lower than that of paddy and resulted in higher retail prices for other crops than paddy. In response to the facts that the financial burden, negative environmental externalities and concerns over food security the government of Sri Lanka slashed the fertilizer subsidy by 25 percent in its budget 2012-2013.

The main objective of reducing the subsidy was to encourage farmers to use more organic fertilizers. However, paddy farmers complained to the government about that their inability to shift to organic fertilizer at such short notice and they foreshadowed a possible increase in the price of rice. The government revised its fertilizer subsidy policy by adjusting the fertilizer subsidy reduction only to 10 % in 2013/2014 budget and continued the revision for the financial year 2014/2015. Further, the fertilizer subsidy policy was coupled with a paddy procurement policy, which required farmers to supply a fixed portion of paddy to the government at a pre specified price below the market price since 2009.

vii. Sixth Phase (2016 *Yala* Season – 2017/18 *Maha* Season)

The mounting burden of fertilizer subsidy compelled the government in the latter part of the 2015 to suggest a few modifications to the fertilizer subsidy policy. As a result, a Fertilizer Cash Grant was provided to farmers to buy fertilizer since 2016 *yala* season. Priority was given to paddy;

however, a selected list of other field crops was also supported by the programme. Therefore, the fertilizer subsidy in Sri Lanka can be clearly categorized into three groups of policies:

A full subsidy :- 1962 - 1989, 1995 - 1996, 2006 - 2015, 2016 - 2018

A urea-only subsidy :- 1997 - 2005

No subsidy :- 1990 - 1994

In 2017, Sri Lanka's fertilizer subsidy program primarily focused on a "Fertilizer Cash Grant (FCG)" scheme, which was introduced in 2016, allowing farmers to receive a direct cash subsidy towards the cost of fertilizer used for paddy cultivation, with the goal of supporting rice production and maintaining the livelihoods of paddy farmers; this program was implemented during the 2016 *yala* to 2017/18 *maha* cultivation seasons.

Table 8.2. Fertilizer subsidy programme (2018-2025)

Year	Budget (Rs. Mn))	Progress
2018	23,229	100%
2019	35,000	86%
2020	21,451	93%
2021		
2022	98,400	33%
2023	56,263	73%
2024	26,000	95%
2025	35,000	

Source: Performance Reports, Ministry of Agriculture and Department of Agriculture

In 2021, Sri Lanka implemented a controversial policy of completely banning the import of chemical fertilizers, essentially eliminating the fertilizer subsidy program, in an attempt to push for fully organic farming; this drastic move was met with criticism due to concerns about potential food shortages and significant yield drops for farmers.

Table 8.3. Budget and Expenditure of Department of Agriculture

Year	Budget (Rs. Mn)		Expenditure			
	Capital	Recurrent	Capital (Rs. Mn)	%	Recurrent (Rs.Mn)	%
2014	1,517	2,758	1,428	94	2,752	100
2015	547	4,058	466	85	3,978	98
2016	1,541	4,299	1,365	89	4,184	97
2017	543	4,573	390	72	4,249	93

2018	650	5,328	484	74	4,410	83
2019	2,273	4,771	1623	71	4665	98
2020	989	4,957	976	99	4,835	98
2021	2,147	5,074	1,550	72	4,687	92
2022	1,620	5,368	1,267	78	5,139	96
2023	3,391	6,319	2,599	77	5,440	86

Source: Performance Reports, Ministry of Agriculture and Department of Agriculture

The Ministry of Finance, Economic Stabilization and National Policies, has prepared the National Budget 2025[23], where the treasury has allocated a total of Rs. 254 Bn. for Productive, Modernized and Sustainable Agriculture to Enhance Country's Food and Nutrient Security. This is 7% increase compared to allocation in 2024. Of this amount Rs. 124.4 Bn has been allocated for agriculture alone (increase of 42% from 2024). It includes a budget line of Rs. 3.5 Bn. for development of minor irrigation, village tank cascade systems and abandoned paddy lands.

[23] https://www.treasury.gov.lk/web/for-what-for-whom/section/2025